

FINRA Rule 4370 — Business Continuity Plans (Key Requirements)

1. Business Continuity Plan Requirement

Each member must create and maintain a written business continuity plan identifying procedures relating to an emergency or significant business disruption.

The plan must be reasonably designed to enable the member to meet its existing obligations to customers and, at a minimum, address the following elements.

2. Required Plan Elements

Data back-up and recovery (hard copy and electronic).

All mission critical systems and alternate means to complete transactions.

Financial and operational assessments.

Alternate communications between the member and its customers and regulators.

Alternate physical location of employees.

Critical business constituent, bank and counter-party impact.

Regulatory reporting obligations.

Communications with regulators.

3. Annual Review and Testing

Each member must conduct an annual review of its business continuity plan to determine whether any modifications are necessary in light of changes to the member's operations, structure, business or location.

Business continuity plans must be tested at least annually. Testing must be documented and results reported to senior management.

Members must update their emergency contact information with FINRA at least annually and promptly following any material change.

4. Disclosure to Customers

Each member must disclose to its customers how its BCP addresses the possibility of a future significant business disruption and how the member plans to respond to events of varying scope.